

# INTUIT INC.

(NASDAQ: INTU)

## Four Defaults Compounding — Priced as a Melting Utility, Built as an AI Beneficiary

**BUY — \$535.00 Target**

Equity Research Note · Technology — Application Software · October 4, 2026

| Recommendation | 12-Mo. Price Target | Current Price | Implied Upside | Risk Rating |
|----------------|---------------------|---------------|----------------|-------------|
| BUY            | \$535.00            | \$281.08      | +90.3%         | Medium      |

Current price as of October 2, 2026 close.

### Snapshot

|                |                                               |                    |                                                                |
|----------------|-----------------------------------------------|--------------------|----------------------------------------------------------------|
| Market cap     | ~\$75.1 bn (267 mn sh × \$281.08)             | Capital returns    | Growing dividend; buybacks offset dilution and then some       |
| 52-week range  | ~\$252.84 – \$689.17                          | AI strategy        | Intuit Assist + agentic workflows across tax, books, marketing |
| Franchises     | TurboTax, QuickBooks, Credit Karma, Mailchimp | Base discount rate | 9% — among the most defensible moats in software               |
| FY2026 revenue | \$21.45 bn                                    | Bear case          | \$220 — AI commoditizes tax/books faster than repricing        |
| FCF            | \$8.62 bn (~40% of revenue)                   | Next catalyst      | Tax-season paid-unit trends; QuickBooks NRR                    |

## 1 Investment Thesis

Intuit owns four franchises that are each the default product in their category: TurboTax in consumer tax preparation, QuickBooks in small-business accounting, Credit Karma in consumer financial insight, and Mailchimp in small-business marketing. Defaults compound: each tax season and each business formation cohort refreshes the top of the funnel, retention is structurally high because switching accounting or tax software is painful, and the data each product generates makes the others better. At \$281.08 the market prices Intuit as a mature tax-and-accounting utility facing AI disruption. Our judgment is that Intuit is an AI beneficiary in the same way Adobe is: AI raises the value of the workflow platform it is embedded in, and Intuit's platform sits on the most sensitive financial data of tens of millions of consumers and small businesses — data that cannot be casually moved to a chatbot.

The forward earnings power is underappreciated in two places. First, the mid-market: QuickBooks Advanced and the enterprise-ish offerings moving upmarket capture businesses graduating from small-business plans, at multiples of the ARPU, with Intuit's brand trust doing the selling. Second, AI agents: Intuit Assist and the agentic workflows being built across tax, bookkeeping, and marketing automate the labor that small businesses currently buy from accountants and agencies — and Intuit can price a share of that labor value, which is an order of magnitude larger than software ARPU. We haircut management's AI commentary heavily, but even our haircut view of agentic monetization adds a meaningful growth vector in the outer years of our forecast.

Credit Karma is the cyclical swing factor the market overweights. It is genuinely sensitive to the credit cycle — loan and card origination volumes drive its revenue — but the strategic value is the data and the member base, which feed TurboTax and QuickBooks acquisition at low marginal cost. Our base case assumes a normalized credit environment, not a boom, and still supports the valuation. Mailchimp, the perennial disappointment since acquisition, is modeled conservatively: we underwrite stabilization and modest growth, not the turnaround story, so any genuine improvement is upside. Our \$535.00 target implies +90% upside on probability-weighted cash flows that require Intuit to remain the

default in its categories — which, on the evidence of retention data, it is.

On AI disruption — the market's central fear — our judgment is that Intuit's position strengthens. Tax preparation and bookkeeping look automatable in the abstract, but in practice they require trusted handling of regulated, high-stakes financial data with audit trails and accuracy guarantees. A general-purpose AI agent cannot offer the compliance accountability that Intuit provides, and Intuit's agents operate on the customer's actual financial history, which no competitor can replicate without the data. We model AI as ARPU-accretive — customers pay for automation that replaces more expensive human labor — rather than seat-destructive, while acknowledging this is the key forecast risk: if AI commoditizes tax and bookkeeping faster than Intuit can reprice, the bear case, at \$220, is the outcome.

### Why the market will care (eventually)

- **Agentic AI prices labor value, not software ARPU.** Automating the work small businesses buy from accountants and agencies lets Intuit price a share of labor value — an order of magnitude larger than software ARPU. Even our haircut view adds a real outer-year growth vector.
- **The mid-market move multiplies ARPU.** QuickBooks Advanced captures graduating businesses at multiples of small-business ARPU, with brand trust doing the selling and service attach (payroll, payments, lending) compounding it.
- **Credit Karma is data, not just revenue.** The market prices the cyclical origination revenue; we underwrite the member base and data that feed TurboTax and QuickBooks acquisition at low marginal cost — the strategic asset survives any credit cycle.

## 2 Business Overview — What Intuit Is Doing

(Mountain View, California; CEO Sasan Goodarzi)

Intuit Inc., led by CEO Sasan Goodarzi, provides financial management software to consumers, small businesses, and the self-employed. The Small Business and Self-Employed segment (QuickBooks accounting, payroll, payments, and Mailchimp marketing) is the largest growth engine; the Consumer segment (TurboTax, Credit Karma) delivers seasonal but highly profitable tax and financial-insight revenue. The platform strategy — one Intuit account, shared data, AI-driven insights across products — is designed to raise retention and cross-sell: a TurboTax user becomes a Credit Karma member, a QuickBooks customer adds payroll and payments.

The moat is data plus switching costs plus brand trust in financial matters. Small businesses run their books on QuickBooks for years; migrating historical financial data is operationally risky, which produces the high retention that underwrites the valuation. Intuit's AI strategy, branded Intuit Assist, embeds generative AI across the product line — tax explanations, bookkeeping automation, marketing content — and the company is building agentic experiences that complete multi-step financial tasks. Competition includes H&R Block and free-file options in tax, Xero and Sage in accounting, and a long tail of fintech point solutions; none match Intuit's cross-product data advantage.

| Segment                        | FY2025 revenue (~) | Share (~) | What it does                                    |
|--------------------------------|--------------------|-----------|-------------------------------------------------|
| Small Business & Self-Employed | \$11.1 bn          | ~59%      | QuickBooks, payroll, payments, Mailchimp        |
| Consumer                       | \$4.8 bn           | ~26%      | TurboTax + Credit Karma                         |
| Credit Karma (in Consumer)     | \$2.1 bn           | ~11%      | Financial insight; cyclical origination revenue |
| ProTax                         | \$0.8 bn           | ~4%       | Professional tax software                       |

Approximate splits of FY2025 revenue (\$18.8 bn); Credit Karma reported within Consumer.

### What the company is doing now

- **Pricing power in the core.** TurboTax and QuickBooks have raised prices consistently with minimal churn impact, reflecting the switching-cost moat; AI features tiering into higher-priced plans extends the runway.
- **Moving upmarket.** Mid-market businesses adopting QuickBooks Advanced and expanding service attach raise revenue per customer severalfold versus the small-business base.
- **Operating leverage.** The platform is built and the brand is established; incremental revenue carries high margins, and AI-driven automation should reduce service delivery costs over time.

## 3 Financial Analysis

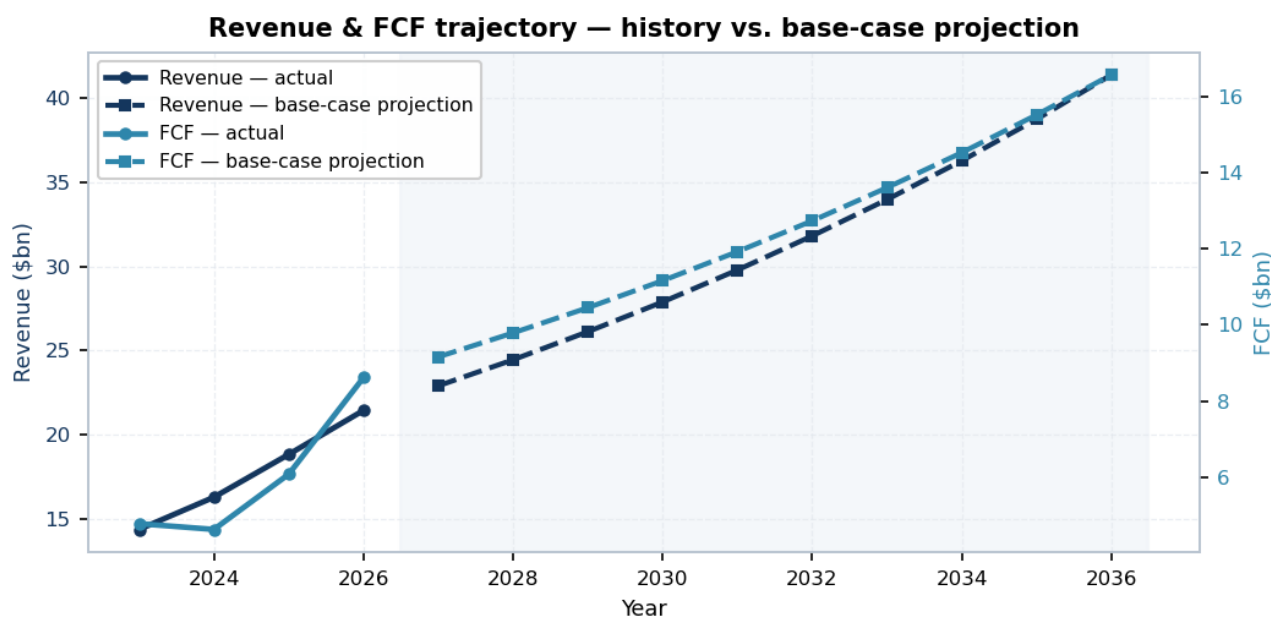
| \$ bn (FY)     | 2023  | 2024  | 2025  | 2026  |
|----------------|-------|-------|-------|-------|
| Revenue        | 14.37 | 16.29 | 18.83 | 21.45 |
| Free cash flow | 4.79  | 4.63  | 6.08  | 8.62  |
| FCF margin     | 33%   | 28%   | 32%   | 40%   |

Fiscal years ending July. FCF = operating cash flow less capex, via Yahoo Finance.

Revenue has compounded from \$14.4B in FY2023 to \$21.4B in FY2026 — roughly 14% annually — with free cash flow of \$8.6B in FY2026 at a ~40% margin. The economics are those of a tollbooth: recurring revenue across tax season and the small-business base, high incremental margins, and cash conversion that funds both growth investment and sustained capital returns. This is the profile that earns the 9% base discount rate — among the most defensible moats in software.

The balance sheet is clean and the capital-return record is long: the dividend grows, buybacks more than offset stock-compensation dilution, and there is no leverage overhang to complicate the story. The bear case is purely about the franchise — AI commoditization of tax and bookkeeping — not about financial distress, which is why the \$220 bear sits only 22% below the quote while the \$862 bull reflects what agentic monetization at scale could be worth.

#### Revenue & cash-flow trajectory



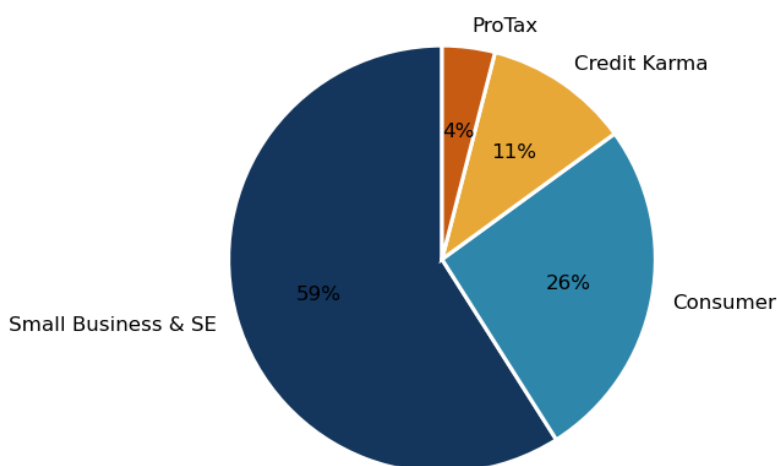
History: company filings via Yahoo Finance (fiscal years ending July). Projections: base-case revenue at the scenario's 6.8% 10-yr CAGR to the model's 2036 endpoint (\$41.41 bn), with FCF at ~40% of revenue.

## 4 Moat & Competition

- **Four category defaults.** TurboTax, QuickBooks, Credit Karma, Mailchimp — each the default in its category, each refreshing the funnel every tax season and every business-formation cohort.
- **Switching costs in financial data.** Migrating years of books or tax history is operationally risky; retention is structural, not contractual.
- **Cross-product data advantage.** One Intuit account, shared data, AI-driven insights across products — no point-solution competitor can replicate the data graph.
- **Brand trust in regulated money matters.** Compliance accountability and accuracy guarantees for high-stakes financial data — the barrier a general-purpose AI agent cannot cross.

FY2025 revenue mix (~)

FY2025 revenue mix (~)



## 5 Valuation — 10-year scenario FCF DCF, Fair Value \$535

We value Intuit on a probability-weighted scenario DCF over a 10-year horizon, with a 9% base discount rate reflecting the stability of the franchise — this is among the most defensible moats in software — 250bp added in the bear case (11.5%) and 150bp subtracted in the bull case (8%), and terminal growth of 1.5% / 2.0% / 2.5% on normalized margins. The valuation is anchored by the recurring-revenue base across TurboTax, QuickBooks, and Credit Karma membership, and by free-cash-flow conversion that funds both growth investment and sustained capital returns.

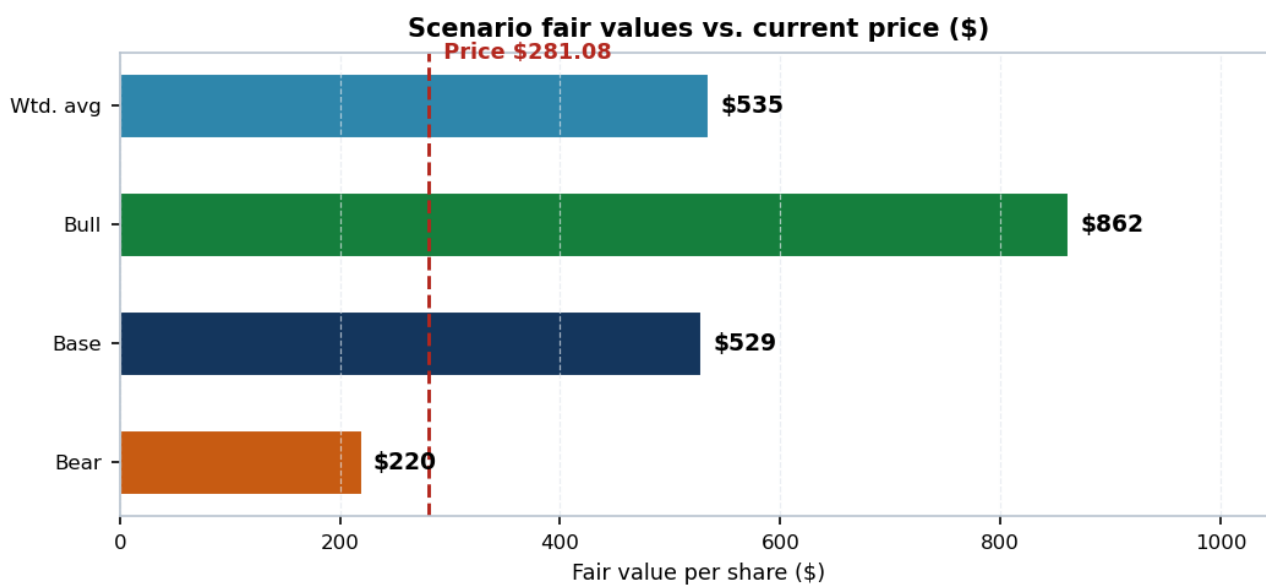
The bear case (\$220) is genuinely adverse and sits below the \$281.08 share price: AI commoditizes tax preparation and bookkeeping faster than Intuit reprices, pricing power breaks, and Credit Karma suffers a prolonged credit contraction. The base case (\$529) assumes continued ARPU expansion, mid-market penetration, steady retention, and normalized Credit Karma — the observable Intuit, extended. The bull case (\$862) assumes agentic AI monetization succeeds at scale, with Intuit capturing a share of the labor value it automates for small businesses. Terminal value is held within the 70%-of-enterprise-value guardrail.

| Scenario | Key assumptions                                                                                                       | Rev CAGR | End margin | Discount / term. g | TV share | Fair value |
|----------|-----------------------------------------------------------------------------------------------------------------------|----------|------------|--------------------|----------|------------|
| Bear     | AI commoditizes tax/books faster than repricing; pricing power breaks; prolonged credit contraction hits Credit Karma | +0.6%    | 27%        | 11.5% / 1.5%       | 33%      | \$220.00   |

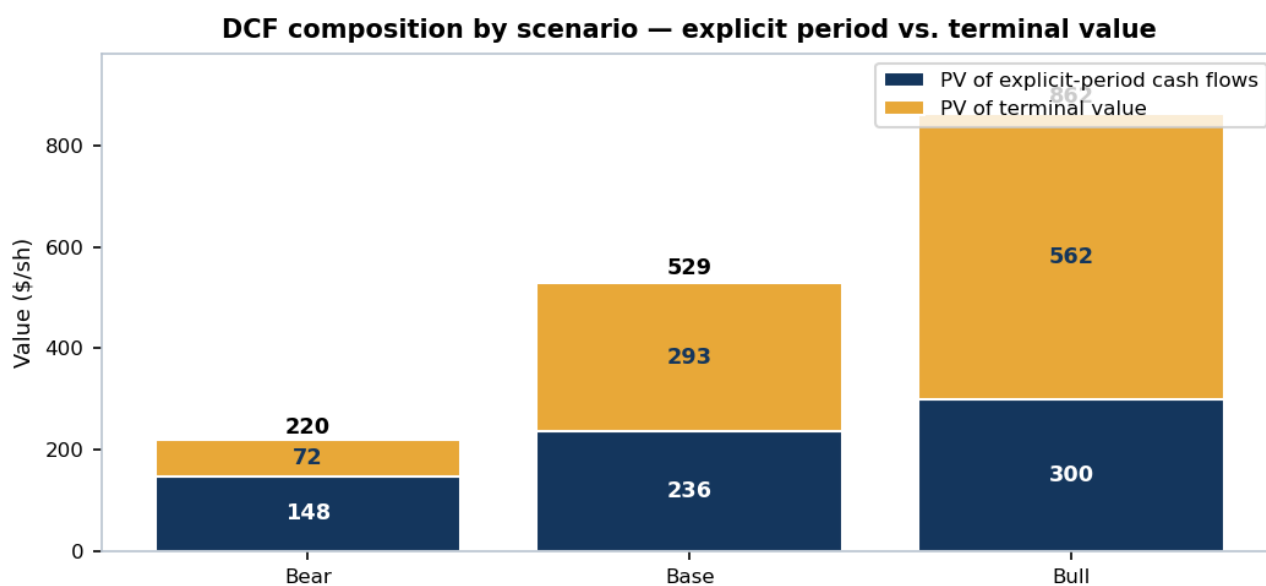
| Scenario | Key assumptions                                                                             | Rev CAGR | End margin | Discount / term. g | TV share | Fair value |
|----------|---------------------------------------------------------------------------------------------|----------|------------|--------------------|----------|------------|
| Base     | Continued ARPU expansion; mid-market penetration; steady retention; normalized Credit Karma | +6.8%    | 33%        | 9.0% / 2.0%        | 55%      | \$529.00   |
| Bull     | Agentic AI monetization succeeds at scale; Intuit captures a share of automated labor value | +9.5%    | 35%        | 8.0% / 2.5%        | 65%      | \$862.00   |
| Wtd. avg | Probability-weighted (25/50/25) → <b>\$535.00</b> target                                    |          |            |                    |          | \$535.00   |

Scenario fair values are rescaled proportionally from the scenario model so the 25/50/25 weights land exactly on the \$535.00 target.

#### Scenario fair values vs. current price (\$)



#### DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$/sh. A heavy terminal-value share means the call rests on the long run, not the forecast window.

## 6 Risks & Falsification

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### Key risks

- **AI disruption.** Faster-than-expected commoditization of tax preparation or bookkeeping would impair the core franchises — the \$220 bear case.
- **IRS Direct File and free-file expansion.** Government-provided free tax filing could erode TurboTax's paid funnel over time.
- **Credit cycle.** A severe credit contraction would depress Credit Karma revenue and signal broader consumer stress.
- **Small-business formation slowdown.** Fewer new businesses means a thinner top-of-funnel for QuickBooks.
- **Mailchimp underperformance.** Continued deterioration would force a writedown of the strategic rationale and management credibility.
- **Regulatory scrutiny.** Data privacy and fintech regulation could constrain cross-product data use, dulling the platform advantage.
- **Valuation sensitivity.** The shares have historically traded at premium multiples; multiple compression on any growth scare is a real drawdown risk.

### What would change our mind

Downgrade on: two consecutive tax seasons of TurboTax paid-unit declines not explained by demographics, signaling franchise erosion; sustained QuickBooks subscriber churn elevation or net revenue retention decline in the small-business segment; evidence that AI-native tax or bookkeeping products are winning Intuit's core customers at scale; a major data breach or regulatory action restricting Intuit's use of cross-product financial data; or capital allocation drift — a large dilutive acquisition or a buyback halt while the shares are depressed.

## 7 Methodology

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We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

*This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.*